

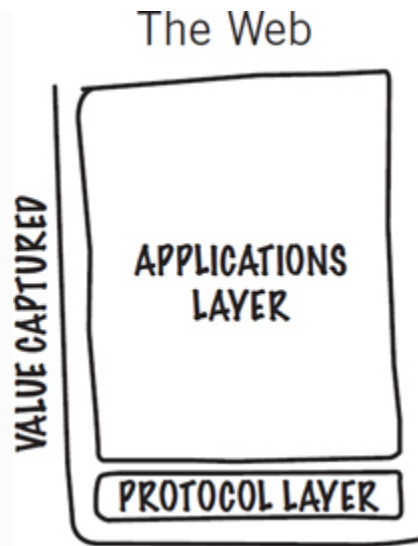


Figure 16.1 ■ Thin protocols and fat applications: how value is captured within the Web

Source: www.usv.com/blog/fat-protocols

Contrast this model with that of cryptoassets, where the protocol layer must be directly monetized for the applications on it to work. Bitcoin is a good example. The protocol is Bitcoin itself, which is monetized via the native asset of bitcoin. All the applications like Coinbase, OpenBazaar, and Purse.io rely on Bitcoin, which drives up the value of bitcoin. In other words, within a blockchain ecosystem, for the applications to have any value, the protocol needs to store value, so the more that applications derive value from the protocol, the more the value of the protocol layer grows. Given many applications will be built on these protocols, a protocol should grow to be larger in monetary value than any single application atop it, which is the inverse of the value creation of the Internet. See [Figure 16.2](#) for a depiction of how value is captured within blockchain architectures.